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Investor Presentation | Asia Pacific

China Stimulus Amid Global Volatility?

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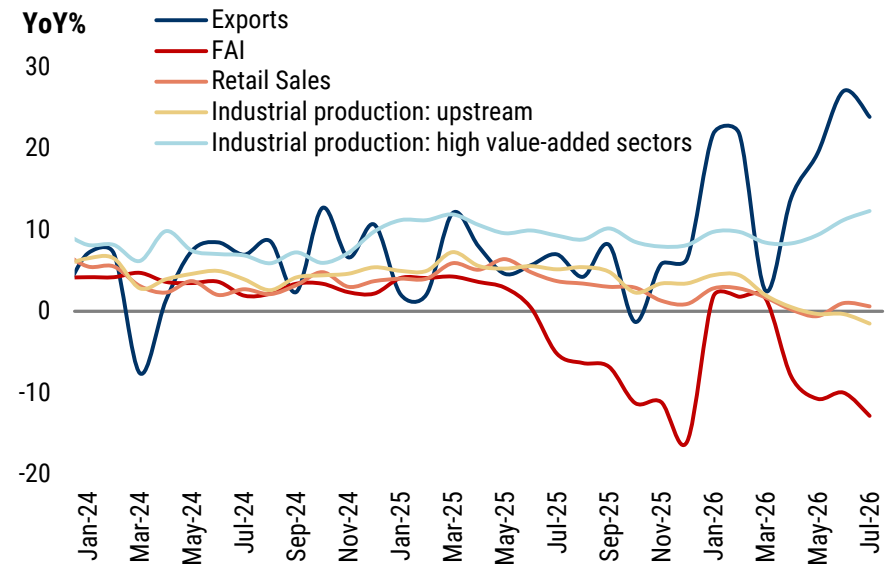
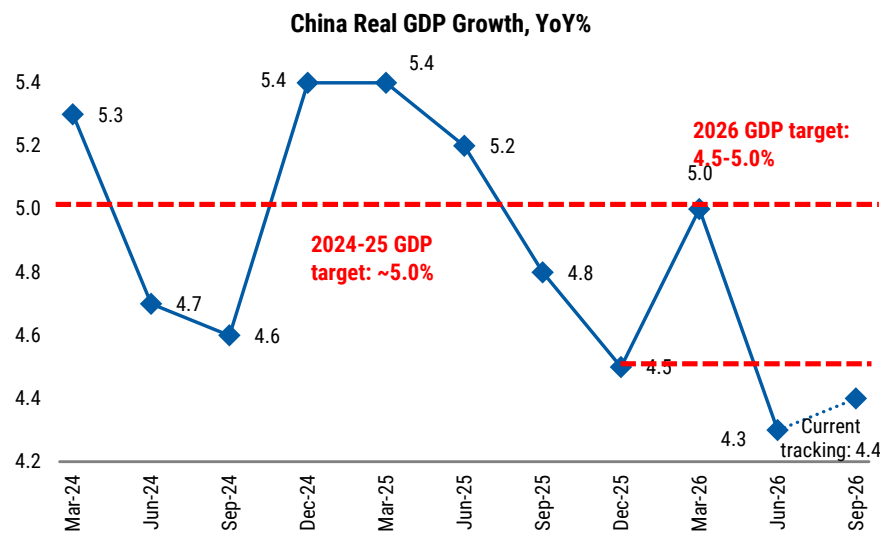
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China Economy

3Q GDP Missing Target Again Amid Deflation-Fiscal Gridlock

3Q real GDP growth is now tracking at 4.4%Y

K-shaped economy deepened



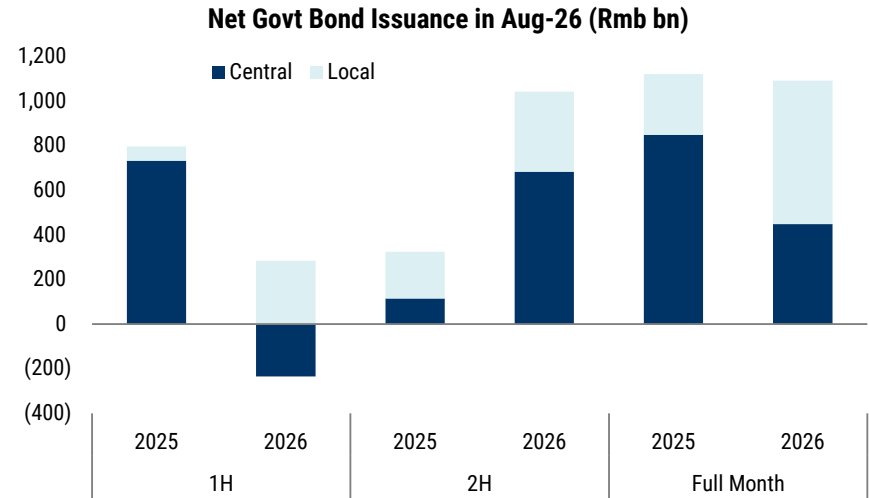
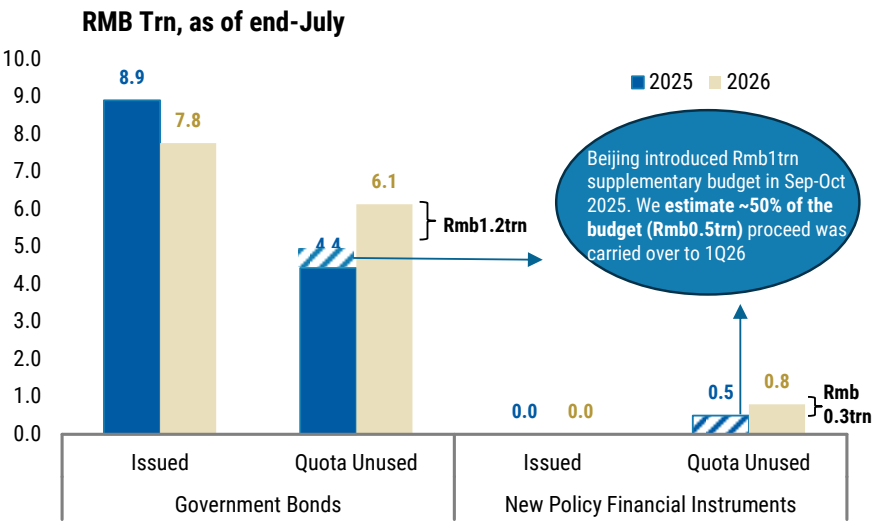
Source: CEIC, Morgan Stanley Research estimates

China Economy

Fiscal Impulse Remains the Key Near-Term Swing Factor

There remains Rmb2trn untapped fiscal and quasi-fiscal impulse for Aug-Dec

Govt bond issuance accelerated in 2H August

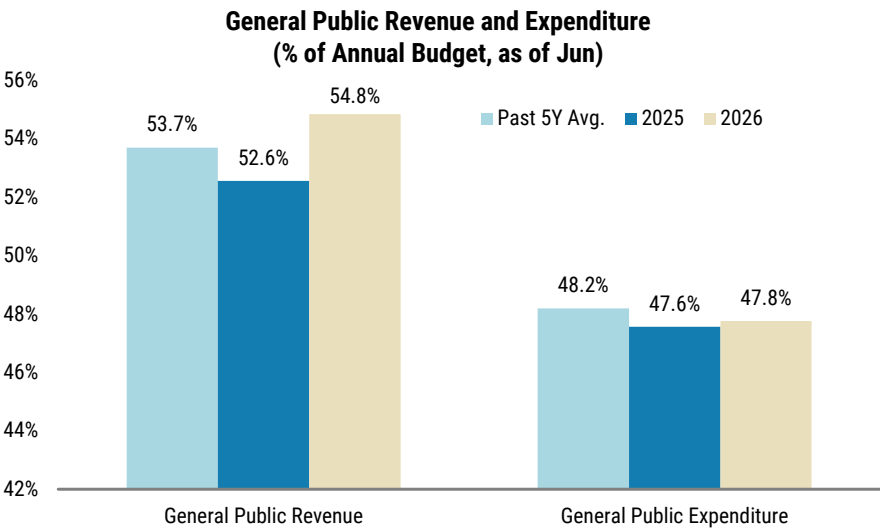


Source: CEIC, Wind, Morgan Stanley Research

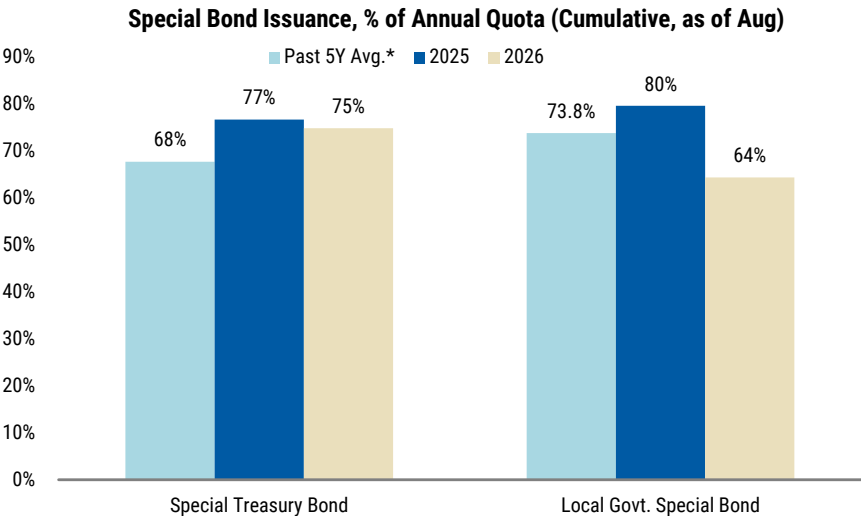
China Economy

What Has Dragged Government Bond Issuance So Far?

Less front-loaded general bond financing than in 2025



Slow LGSB issuance amid tighter local project scrutiny and a still-thin "six networks" pipeline



Source: CEIC, Wind, Morgan Stanley Research. *2024-25 data for special treasury bond which started issuance only from 2024.

China Economy

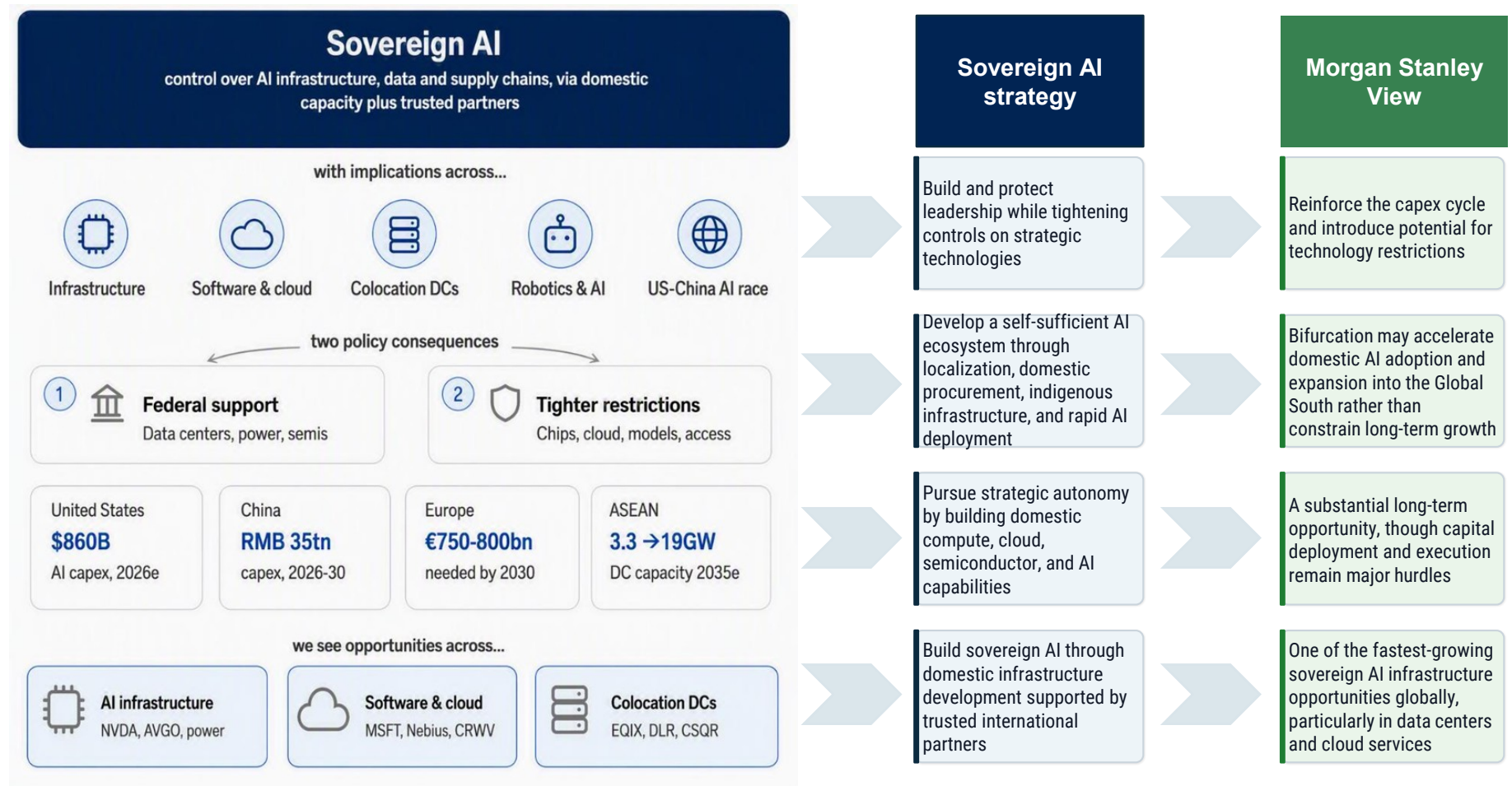
Incremental Policy Measures Since July Politburo Meeting



Source: Government Website, Morgan Stanley Research

AI Capex Cycle

AI Sovereignty to Reinforce AI Capex Cycle



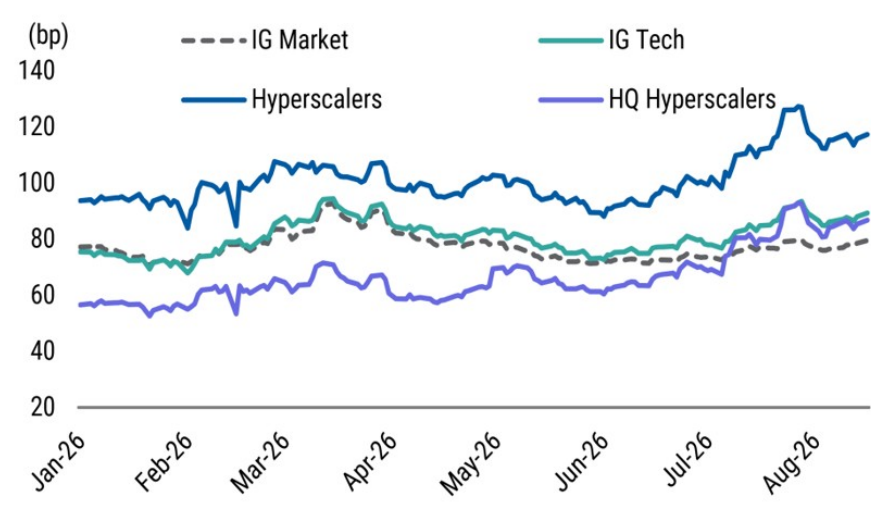
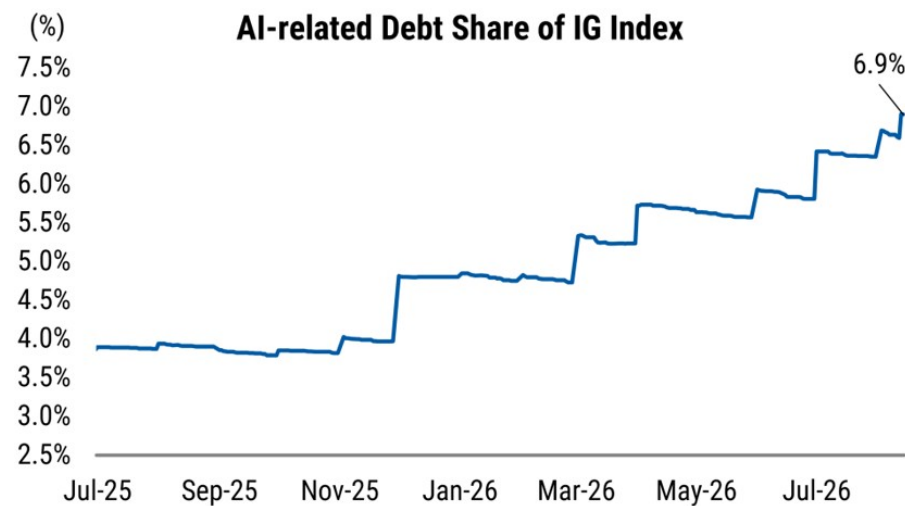
Source: Morgan Stanley Research estimates. For more details, kindly see [AI Sovereignty: Policy, Market, and Economic Implications \(19 Aug 2026\)](#)

AI Capex Cycle

AI Debt Financing: Ample Market Capacity, Wider Spreads

AI-related issuance is now ~7% of the IG index; we still see ample market capacity from current levels

Wider spreads are the release valve to accommodate supply

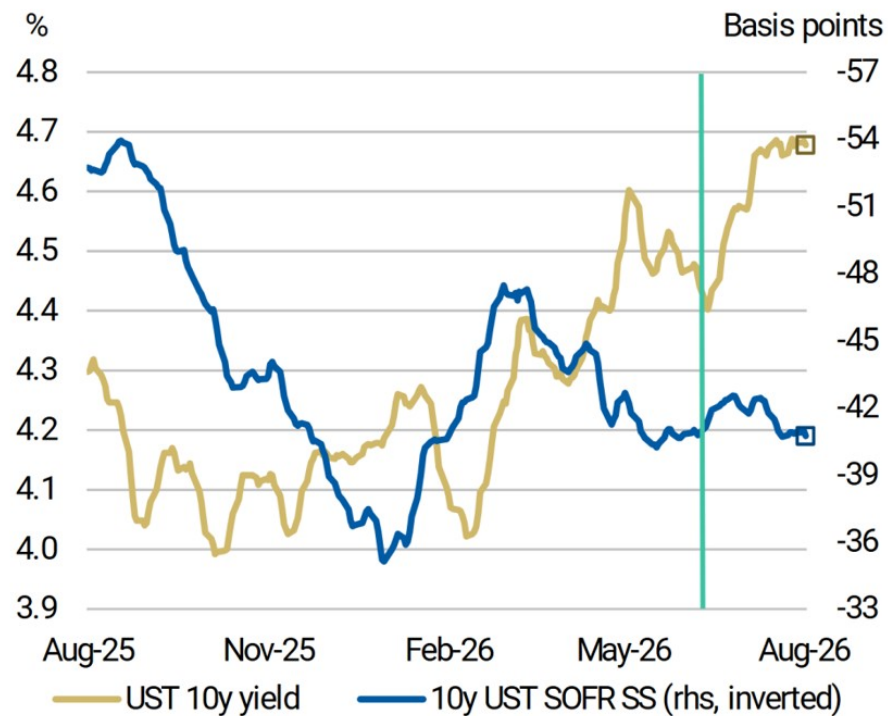


Source: Morgan Stanley Research estimates. For more details, kindly see [AI Debt Financing Tracker: The Summer Spreads Turned Wider \(20 Aug 2026\)](#)

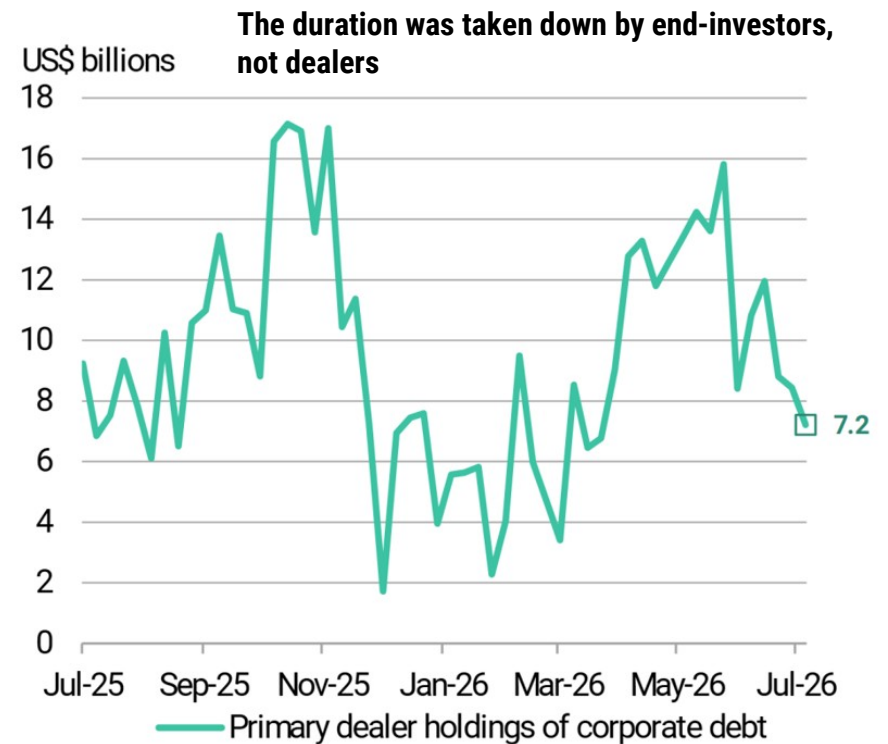
US Rates

Reasons Behind the Uptick in Long-end Treasury Yields

Treasury repricing (related to energy prices and Fed reaction function) was the key driver of recent steepening



Investment grade corporate supply may also have had some impact, though not lasting or meaningful



Source: Bloomberg, Morgan Stanley Research. For more details, kindly see [Our Views After Treasury Announced Larger Buybacks \(20 Aug 2026\)](#)

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